



QUANT LAB USA INC

Stripe Connect Marketplace Onboarding Template

A 25-page founder and COO checklist for launching a Stripe Connect marketplace. Covers account types, KYC, money movement, payouts, disputes, escrow, reserves, and 1099-K reporting from real production Stripe Connect marketplace builds.

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About this document

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Section 1

Marketplace Anatomy

Every Stripe Connect marketplace involves four roles: the platform (you), the connected account (your seller, creator, or service provider), the customer (the end-buyer paying for the seller's product), and Stripe itself as the underlying payments processor. Understanding which role bears which responsibility - for KYC, for chargebacks, for tax reporting, for refunds - is the single most important scoping decision before line one of code gets written.

The Seven Money-Movement Patterns

- **Direct charges:** Customer pays connected account directly. Platform takes a fee on the charge. Connected account is the merchant of record.
- **Destination charges:** Customer pays platform; platform transfers to connected account on the same charge. Platform is merchant of record.
- **Separate charges and transfers:** Customer pays platform; platform creates a separate transfer to the connected account later. Best for held-funds patterns.
- **On-behalf-of charges:** Charge appears as the connected account but funds the platform first. Useful for marketplace-of-record patterns.
- **Connect with subscriptions:** Recurring billing routed to connected accounts.
- **Connect with payment intents:** SCA-compliant flow for European customers.
- **Connect with Treasury:** Stronger custody pattern; required for some regulated marketplace categories.

Picking Your Pattern

For most US-only marketplaces with US-only sellers and same-day payouts, destination charges or direct charges are the right defaults. For platforms holding funds during a service-delivery window, separate charges and transfers is the correct pattern. For platforms in regulated categories (lending, money transmission, embedded banking), Connect with Treasury is often required.

Section 2

Account Type Decision

Stripe Connect offers three account types: Standard, Express, and Custom. The choice cascades through onboarding UX, KYC ownership, dispute liability, branding control, and dashboard access. Pick wrong and you will rework the integration.

Dimension	Standard	Express	Custom
Onboarding UX	Stripe-hosted full	Stripe-hosted simplified	Platform-built
KYC ownership	Stripe	Stripe	Platform (you)
Dashboard access	Full Stripe dashboard	Limited Express dashboard	None - platform builds
Branding control	Stripe-branded	Co-branded	Fully platform-branded
Dispute liability	Connected account	Connected account	Platform
Best for	Independent sellers	Curated marketplace	Embedded payments

Standard - The Default Choice

Standard accounts are the lowest-friction integration. Sellers manage their own Stripe relationship and accept dispute liability themselves. The platform layer is thinner. This is the right pattern for marketplaces where sellers are independent businesses with their own commercial identity (Etsy-style, Substack-style, Patreon-style).

Express - The Hybrid

Express accounts give the platform tighter control over branding and onboarding while keeping Stripe-hosted KYC and dispute handling. Used by Lyft, DoorDash, Instacart - platforms where the seller relationship is part of the platform brand but where the platform does not want to own KYC compliance.

Custom - Maximum Control, Maximum Responsibility

Custom accounts give the platform full control of the experience but transfer KYC compliance and dispute liability to the platform. Used by Shopify Payments, Substack stripe integration, and other embedded-payments platforms where the platform IS the payments brand. Requires a Connect Onboarding API integration or equivalent KYC handling layer.

Section 3

KYC and Verification Flow

KYC (Know Your Customer) and KYB (Know Your Business) verification is the single most common point of onboarding-flow friction in Stripe Connect marketplaces. The fields required vary by jurisdiction, by entity type, by transaction volume, and by risk-model signals invisible to you. Designing the flow resumably and handling rejected verifications without breaking your funnel is most of the work.

Required Fields by Seller Profile

For a US LLC selling to US customers below the Stripe risk threshold, the required KYB fields are typically: legal business name, EIN, business address, phone, MCC (merchant category code), representative (the natural person beneficial owner), representative's name, DOB, last-four SSN, and an address.

For a foreign individual seller, the requirements expand: passport or government-issued ID upload, full address verification, source-of-funds questions, and additional risk-model factors. The expanded requirements can add days to verification turnaround.

Resumable Flow Patterns

Design onboarding so a seller can save their progress, leave, and resume without losing entered data. Stripe's hosted onboarding (Standard, Express) handles this natively. For Custom accounts, build your own resume token system - sellers who hit a verification step requiring document upload routinely close the tab and come back hours later.

Handling Rejected Verifications

Stripe's risk model occasionally rejects KYC verifications. Sometimes this is recoverable (additional document upload requested); sometimes it is not. Design the flow to communicate clearly which case applies and to surface the next steps. The worst onboarding flows are the ones that say 'verification pending' indefinitely while the seller has no path to resolve.

Section 4

Money Movement Architecture

Once an order is placed, money has to move. The specific Stripe API call - Payment Intent, Charge, Transfer - and the relationship between them defines the money-movement architecture of your platform. Get this wrong and you will fight Stripe edge cases on every reconciliation cycle.

Sample Data Model

A minimal marketplace order data model: **Order** (your platform's transaction record, with order_id, seller_id, customer_id, amount, fee, status), **PaymentIntent** (Stripe's authorization record, linked to Order via metadata), **Charge** (the actual capture, linked to PaymentIntent), **Transfer** (when using separate charges and transfers, the movement of funds from platform balance to connected account), **Payout** (Stripe's record of moving funds out of connected account to bank).

Idempotency

Every Stripe write operation should pass an idempotency key. The most common production bug we see is duplicate transfer creation during retry logic - which double-pays sellers and is operationally expensive to unwind. Use the Order ID concatenated with the operation type as the idempotency key for most patterns.

Webhook Reconciliation

Stripe is the source of truth, not your database. Build webhook handlers for payment_intent.succeeded, charge.refunded, charge.dispute.created, transfer.created, transfer.failed, payout.failed, and account.updated. Reconcile your database state against Stripe events on every webhook. If your database disagrees with Stripe, Stripe wins.

Section 5

Payouts and Payout Schedule

Payout schedule is the cadence at which Stripe moves funds from a connected account's Stripe balance to the seller's bank account. Stripe offers daily, weekly, monthly, and manual schedules - and the choice has user-experience and risk implications most platforms do not consider until after launch.

Default Schedule Trade-offs

- **Daily:** Best seller experience but maximum chargeback exposure. Funds leave the connected account quickly, so a chargeback on day 30 may need to be clawed back from a connected account that has already withdrawn.
- **Weekly:** Reasonable balance for most marketplaces. Standard default.
- **Monthly:** Slower seller experience but lower chargeback risk. Used by marketplaces with longer service-delivery windows.
- **Manual:** Platform controls every payout. Required for held-funds patterns. Operational burden on platform side.

Automatic Reserves

Stripe automatically applies reserves to connected accounts that hit certain risk thresholds. A reserve is a held portion of the connected account's balance, released after a defined period. Reserves surprise platforms more than any other Stripe Connect behavior. Build proactive seller communication so reserved sellers understand what is happening and when funds will release.

Multi-Currency Payouts

For international marketplaces, payout currency may differ from charge currency. Stripe handles the conversion at posted rates. Platform should surface the rate and the conversion fee to sellers explicitly - opaque FX is the most common complaint from international sellers on Connect platforms.

Section 6

Escrow and Held Funds

Many marketplaces need to hold funds between order placement and order fulfillment - escrow patterns. Stripe Connect supports several patterns for this use case, each with different operational and regulatory implications.

Pattern 1: Separate Charges and Transfers with Explicit Holding

Customer pays platform via destination charge. Platform holds the funds in its Stripe balance. Transfer to the connected account is created only after the service-delivery condition is met (delivery confirmed, milestone hit, etc.). This pattern is operationally clean and works well for short hold periods (under 30 days). It does not implicate state money transmitter licensing for most jurisdictions because the funds remain in Stripe's regulated environment.

Pattern 2: On-Behalf-Of Charges with Payout Schedule Override

Charge appears as on-behalf-of the connected account; payout schedule is set to manual; platform releases the payout when the holding condition is met. This pattern has the advantage that the connected account is the merchant of record (better for tax reporting); it has the disadvantage that operational responsibility on the platform side is higher.

Pattern 3: Stripe Treasury

For platforms holding funds for longer periods or for amounts triggering state money-transmitter scrutiny, Stripe Treasury provides FDIC-insured account custody via a partner bank. Treasury is required for many regulated categories. It adds significant platform-side compliance obligation and is generally only used when the alternative is platform-level state money-transmitter licensing.

Legal check: Held-funds patterns can trigger state money-transmitter licensing depending on duration, amount, and jurisdiction. Confirm your specific pattern with counsel before launch.

Section 7

Disputes and Chargebacks

Disputes (a.k.a. chargebacks) are the inevitable failure mode in card payments. On Connect platforms, dispute liability allocation depends on account type and settlement structure, and operational response affects both your win rate and your Stripe risk posture.

Liability Allocation

- **Standard accounts:** Connected account bears liability. Disputed funds are pulled from connected account's balance.
- **Express accounts:** Same as Standard - connected account liability.
- **Custom accounts:** Platform bears liability by default. Configurable.
- **Direct charges with platform fees:** Connected account is liable for the full disputed amount including platform fee.
- **Destination charges and on-behalf-of:** Liability depends on settlement structure; consult Stripe docs for the specific pattern.

Automated Evidence Submission

Stripe accepts evidence packets that you submit via the API. Automate the evidence collection: customer email, shipping confirmation, receipt PDF, transaction context, communication log, and refund-policy text. Platforms with automated evidence submission win disputes at materially higher rates than platforms doing manual response.

Risk Review Threshold

Stripe initiates risk review on connected accounts whose dispute rate crosses approximately 0.75% (varies by MCC). Risk review can result in payout pause, reserve placement, or account termination. Monitor connected account dispute rates proactively and intervene with sellers approaching the threshold before Stripe intervenes.

Section 8

Reserves and Risk

Stripe places reserves on connected accounts as a risk-management mechanism. Understanding why Stripe places reserves, how to predict them, and how to layer platform-level reserves on top is part of operating a healthy Connect platform.

When Stripe Places a Reserve

- Connected account hits the dispute-rate threshold.
- Recent large transactions create a tail-risk exposure.
- MCC change or product category shift triggers risk model.
- New connected account in a high-risk vertical.
- Account-update activity triggers re-review.

Platform-Level Reserves

Many platforms layer their own reserves on top of Stripe's - typically by holding a percentage of each transaction in the platform Stripe balance rather than transferring immediately to the connected account. Platform-level reserves are useful for marketplaces with seller-side risk that Stripe's model doesn't fully capture, but they add a customer-service surface for connected accounts asking when their reserve will release.

Section 9

Tax Forms and 1099-K

US-based marketplaces are required to issue Form 1099-K to connected accounts exceeding the federal reporting threshold. Stripe Connect handles much of the mechanical work but the platform-side data capture and operational rhythm matters.

Federal and State Thresholds

Federal 1099-K threshold has been in flux. For 2026 reporting, the federal threshold is currently set at \$5,000 in aggregate payments, though enforcement guidance has shifted. Several states have lower thresholds (notably Massachusetts, Vermont, Virginia, Maryland at \$600). Stripe issues 1099-Ks based on the lower of federal and state thresholds applicable to the recipient.

Data Capture During Onboarding

Capture and verify the connected account's tax ID (EIN or SSN) during onboarding. Connected accounts whose tax ID does not match IRS records will trigger TIN-mismatch notices, requiring you to put a B-notice flow in place to collect corrected information.

December-Deadline Operational Pattern

1099-K issuance for the prior tax year is due to recipients by January 31. Stripe issues forms via the Connect dashboard. Plan an October operational review of pending TIN-mismatch issues, B-notice responses, and any connected accounts with materially incorrect address-on-file. Fixing these in October avoids the January scramble that produces operational-team burnout.

Contact & Next Steps

Ready to act on what is in this document?

If the contents of this PDF prompted a question you want a second set of eyes on, or if you are ready to scope a related engagement, we run a 20-minute discovery call at no cost. The conversation is structured: 5 minutes on your context, 10 minutes on the specific decision in front of you, 5 minutes on what good next steps look like.

- Book a 20-minute scoping call: quantlabusa.dev/contact
- Learn about our Stripe Integration practice: quantlabusa.dev/services/stripe-integration
- Browse our full resources library: quantlabusa.dev/resources
- Read recent case studies: quantlabusa.dev/work
- Pricing and discovery sprint options: quantlabusa.dev/pricing

Who is QUANT LAB USA?

QUANT LAB USA INC is a Georgia-incorporated technology consultancy. We build custom business software, SaaS platforms, payments and licensing infrastructure, and security engineering for mid-market and SMB operators. We are deliberately structured as a small, senior-engineering-led practice - the people on your scoping call are the people who build the system. If a custom build is on the table, we typically begin with a paid discovery sprint that produces wireframes, a database schema, and a phased build estimate.

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